A VISUAL PRIMER · NO. 02

Trading it, *safely.*

The safe way in
Defined risk first
Size · Assign · Check
Five starter trades

One page

Read after
No. 01 — the anatomy

No. 01 showed *what* an option is. This one is about not getting hurt while you learn to trade one. The single idea underneath every page here: **decide your worst case before you enter — in dollars — and make it a number you can shrug off.** Everything else is detail.

01 / RISK SHAPE

Before the strategy, know the shape of the risk.

Every options position falls into one of two buckets. This split matters more than bullish-vs-bearish, more than calls-vs-puts. Get it wrong and a single trade can take more than you put in. Get it right and a bad trade is just a bad day.

THE SAFE BUCKET

● Defined risk

You know the most you can lose the instant you enter — it's the cash you paid, or a gap you've fully funded. The market can do its worst and your loss still can't exceed that number.

WORST CASE	**Known, capped**
CAN LOSE MORE THAN YOU PUT IN?	**No**
EXAMPLES	Long call · long put · debit spread · cash-secured put · covered call

THE DANGER BUCKET

● Undefined risk

The loss has no ceiling you controlled up front. Selling a call you don't own shares against is the classic: if the stock triples, your loss triples with it. This is where beginners blow up accounts.

WORST CASE	**Open-ended**
CAN LOSE MORE THAN YOU PUT IN?	**Yes — much more**
EXAMPLES	Naked short call · naked short put · short straddle/strangle

The one rule.

Until you have real experience and a broker that has approved you for it, **trade defined-risk positions only.** Brokers gate the dangerous ones behind higher "options approval levels" for exactly this reason — treat that gate as a friend, not an obstacle. Everything on the next pages lives in the safe bucket.

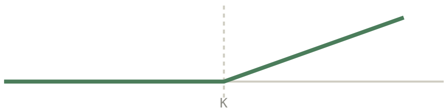
02 / THE SAFE FIVE

Five positions you can actually start with.

Each one has a worst case you can write down before you click buy. Two are pure directional bets with a small fixed cost. Two put you to work around shares. One is the cheaper, capped cousin of simply buying a call. The mini-charts show the buyer's/holder's profit at expiration — flat means the loss has stopped.

01 · DIRECTIONAL, BULLISH

Long call

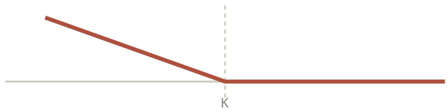


Pay a premium for the right to buy at the strike. Leveraged upside if the stock rises; the whole cost expires worthless if it doesn't.

MAX LOSS	**Premium paid — fixed**
MAX GAIN	Large (stock can keep rising)
USE WHEN	You expect a move up, soon

02 · DIRECTIONAL / INSURANCE

Long put

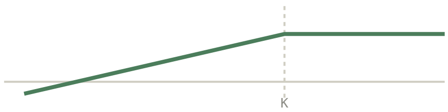


The right to sell at the strike — pays off when the stock falls. Bought against shares you own, it's simply insurance on your holding.

MAX LOSS	**Premium paid — fixed**
MAX GAIN	Large (down to a zero stock)
USE WHEN	Bearish, or protecting a stock

03 · INCOME ON SHARES YOU OWN

Covered call



Own 100 shares, sell one call against them, keep the premium. It caps your upside above the strike in exchange for income now.

MAX LOSS	**The stock falling (you own it)**
MAX GAIN	Premium + rise up to strike
USE WHEN	You'd sell at the strike anyway

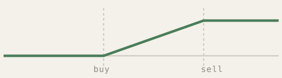
04 · GET PAID TO MAYBE BUY

Cash-secured put

Sell a put and set aside the full cash to buy 100 shares at the strike. Keep the premium; if assigned, you buy a stock you already wanted, cheaper.

MAX LOSS	**Strike − premium (to a $0 stock)**
MAX GAIN	Premium received
USE WHEN	Happy to own at the strike

05 · THE CAPPED DIRECTIONAL BET



Vertical (debit) spread

Buy a call, sell a higher-strike call in the same expiry (or the put mirror for a bearish view). You give up the runaway upside, but the trade costs far less than a lone call and both your **max gain** and **max loss** are fixed and known. A great first "structured" trade. Max loss = net paid · Max gain = strike width − net paid.

02 / CONT.

When you'd actually reach for each.

Same starter set, in plain intentions. Notice none of them require you to be right about timing to the day, and none can lose more than a number you set in advance.

LONG CALL
"I think it climbs and I want leverage, but I only want to risk a small, fixed ticket." Lose only the premium.

LONG PUT
"I'm nervous about a drop — either to profit from it, or to insure shares I'm holding through it." Insurance you can price.

DEBIT SPREAD
"I'm directional but the lone option is pricey — cap my upside to slash the cost and fix the risk." Both ends known.

COVERED CALL
"I own the shares and I'm fine selling at a higher price. Pay me to wait." Income, capped upside.

CASH-SECURED PUT
"I want to own this stock a bit cheaper. Pay me while I wait for my price." Cash fully set aside.

THE WHEEL
Cash-secured put → if assigned, own shares → sell covered calls on them → repeat. A popular, fully-defined-risk loop. Built from the two above.

03 / SIZING

Size it so a total loss doesn't matter.

The fastest way to survive the learning years is to make each trade too small to hurt. Because defined-risk trades hand you the worst case up front, position sizing becomes simple arithmetic instead of a guess.

THE RULE OF THUMB
Risk no more than **1–2% of your account** on any single trade. On a $5,000 account, that's $50–$100 of defined max-loss per position — often just one contract.

THE ARITHMETIC
`contracts = risk budget ÷ max-loss per contract`. A spread risking $60 fits a $100 budget once. Don't round up "just this once."

THE PORTFOLIO
Keep most of the account in cash or a plain index fund. Spread trades across different underlyings and dates. **No margin** as a beginner.

Why so small? A string of losses is normal while learning — even good traders have them. Sizing at 1–2% means it takes a genuinely awful run, not one bad week, to dent you. Small size is what keeps you in the game long enough to get good.

04 / AT EXPIRY

Assignment & expiration — *what actually happens.*

The mechanics that surprise beginners all cluster around the expiration date. None are dangerous inside the safe bucket — but you should know them before they happen to you, not after.

IF YOU'RE THE BUYER (LONG)

In the money at expiry, your option is **automatically exercised** by the broker — a long call turns into 100 purchased shares, a long put into 100 sold. Out of the money, it simply expires worthless and you lose the premium, nothing more.

Watch: don't let an ITM option auto-exercise into shares you can't fund. If you only wanted the option's value, **close it** before expiry instead.

IF YOU'RE THE SELLER (SHORT LEG)

You can be **assigned** any time the option is in the money — occasionally early, not just at expiry. Assignment means you must honour the deal: a short put buys you 100 shares (you set the cash aside), a short call sells your 100 shares.

Watch: in a covered call or cash-secured put this is fine — you were ready for it. Only "naked" shorts make assignment scary.

CLOSE EARLY

You almost never have to hold to expiry. Buy-to-close or sell-to-close locks in your result and sidesteps assignment guesswork.

PIN RISK

A stock finishing right at the strike leaves you unsure if a short option will be assigned. Avoid it by closing beforehand.

EXPIRY CADENCE

Longer-dated options decay slower and give you room to be wrong on timing. Same-day ("0DTE") options are the opposite — skip them.

05 / CHECK

The pre-trade checklist.

Run every trade past these before you click. If any answer is uncomfortable, the trade isn't ready — and there's always another one tomorrow.

- [x] **Do I know my max loss in dollars — right now, before entering?**
  If you can't state it, don't place it.
- [x] **Can I lose that amount and genuinely not care?**
  It should be ≤ 1–2% of the account.
- [x] **Is this defined-risk — nothing naked, nothing open-ended?**
  Stay in the safe bucket.
- [x] **Is the option liquid — tight bid/ask, real open interest & volume?**
  Wide spreads quietly tax every trade.
- [x] **Do I have an exit plan — a profit target and a give-up point/date?**
  Decide the exits before the emotions arrive.
- [x] **Am I clear of an earnings report or event I don't understand?**
  Binary events wreck option prices in both directions.
- [x] **Did I paper-trade this style first?**
  Rehearse with fake money until the mechanics are boring.

06 / RED FLAGS

What *not* to do while you're learning.

The mistakes below account for most beginner account wipe-outs. None are exotic — they're the tempting shortcuts. Treat this as the "handle with care" label.

- × **Selling naked calls.** Truly unlimited loss if the stock runs. The single most dangerous common trade — don't, full stop.
- × **Buying options right into earnings.** Implied volatility collapses after the report ("IV crush") — you can be right on direction and still lose.
- × **Going all-in / oversizing.** One "sure thing" at 30% of the account is how learning accounts die. Size at 1–2%.
- × **Averaging down on a losing option.** Options decay; adding to a loser often just enlarges the loss.
- × **0DTE lottery tickets.** Same-day options are nearly all time-decay and noise. Cheap, thrilling, and a reliable way to donate money.
- × **Selling puts you couldn't afford to be assigned.** "Cash-secured" means the cash is really there. Otherwise it's a naked put in disguise.
- × **Illiquid options.** Wide bid/ask spreads and thin open interest mean you overpay to get in and get trapped getting out.
- × **Trading money you actually need.** Rent and options don't mix. Only ever risk money you can lose.

07 / TERMS

A few safety words you'll meet.

The vocabulary specific to keeping yourself out of trouble — a companion to the glossary in No. 01.

Defined risk
A position whose worst-case loss is fixed and known before you enter. The beginner's home.

Undefined / naked risk
A short option not backed by shares or cash — loss can far exceed the premium. Avoid.

Assignment
Being required to fulfil a short option: deliver shares (call) or buy them (put) at the strike.

Options approval level
Tiers your broker grants as you show experience. Higher tiers unlock riskier trades — earn them slowly.

Buying power / margin
Borrowed capacity to trade. Amplifies losses as much as gains. Leave it off as a beginner.

Liquidity
How easily you can enter and exit — read from a tight bid/ask spread plus healthy volume and open interest.

IV crush
The sharp drop in implied volatility (and option prices) after an event like earnings passes.

Paper trading
Practising with simulated money on a real platform. Do this first, and for longer than feels necessary.

Rolling
Closing an option and reopening a similar one further out in time or strike — to adjust, not to rescue a bad trade.

The short version. Trade only what you can lose, only defined-risk, only small — and practise on paper first. Master those four habits and the strategies take care of themselves. **Nothing here is a recommendation to trade; it's a map of how to do it more carefully if you choose to.**